Financial Results 2007

SAFARICOM LIMITED Summarised audited results for the twelve months to 31st March 2007			
Profit and Loss Ksh 000s	**Twelve months to 31st March 2007**	**Twelve months to 31st March 2006**	**% Change**
Turnover	34,971,944	34,971,944	35.7%
Cost of sales	(18,155,340)	(12,915,720)	40.6%
Gross profit	**29,292,150**	**22,056,224**	**32.8%**
Operating expenses	(11,503,631)	(9,280,055)	24.0%
Operating profit	**17,788,519**	**12,776,169**	**39.2%**
Financing costs	(595,780)	(565,626)	5.3%
Profit before income tax	**17,192,739**	**12,210,543**	**40.8%**
Taxation	(5,182,308)	(3,785,087)	36.9%
Profit after taxation	**12,010,431**	**8,425,456**	**42.5%**
Proposed dividend	**4,000,000**	**2,991,673**	**33.7%**
Balance Sheet Ksh 000s	**At 31st March**	**At 31st March**	
	2007	**2006**	
Capital Employed			
Shareholders' Funds	32,789,307	23,770,549	
Non Current Borrowings	10,435,000	9,235,000	
Represented by			
Non Current Assets	46,258,495	36,411,205	
Current Assets:			

Inventories	1,234,645	1,101,022	
Receivables and prepayments	3,027,407	3,515,266	
Cash and cash equivalents	5,887,692	2,917,454	
	10,149,744	7,533,742	
Current Liabilities			
Payables and accrued expenses	12,390,146	10,568,573	
Current income tax	754,046	354,099	
Derivative financial instruments	39,740	-	
Borrowings	-	16,726	
	13,183,932	10,939,398	
Net current liabilities	(3,034,188)	(3,405,656)	
	43,224,307	33,005,549	
Cash flow statement Ksh 000s	**Twelve months to 31st March 2007**	**Twelve months to 31st March 2006**	
Operating activities			
Cash generated from operations	26,924,595	19,379,473	
Interest received	258,218	74,446	
Interest paid	(895,753)	(408,527)	
Income tax paid	(5,002,191)	(4,256,146)	
Net cash from operating activities	21,284,869	14,789,246	
Investing activities			
Purchase of property, plant and equipment	(16,337,975)	(11,402,143)	

Prepayment of operating lease rentals	(216,176)	(358,552)	
Proceeds from disposal of property, plant and equipment	21,164	13,980	
Payment of license	(15,000)	-	
Net cash used in investing activities	(16,547,987)	(11,746,715)	
Financing activities			
Repayment of bank borrowings	(16,726)	(5,286,883)	
Borrowing during the year	1,200,000	5,016,726	
Other financing costs paid	41,755	(292,104)	
Dividend paid	(2,991,673)	-	
Net cash used in financing activities	(1,766,644)	(562,261)	
Increase in cash and cash equivalents	2,970,238	2,480,270	
Movement in cash and cash equivalents			
At start of year	2,917,454	437,184	
Increase	2,970,238	2,480,270	
At end of year	5,887,692	2,917,454	

Notes to the Financial Statement for the Year Ended 31st March 2007

Safaricom Limited is pleased to announce its audited results for the financial year ending 31st March 2007. The last year has been yet another record year for the Company, with the subscriber base increasing from 3.944m to 6.082m, a growth of 54.2% during the year and compares with 57% growth 2005/6. Net connections in the year were 2.138m, an increase of 149% over the previous year’s net connections of 1.432m. This growth is the result of the continuing increased network rollout to the rural areas, the new services and tariffs introduced during the year, the ongoing belief that the country has in the value of the Safaricom network and services offered and the general improvement in the Kenyan economy.

Total turnover for the year increased by 35.7% to Ksh47.448bn up from Ksh34.972bn in the previous year. This increase compares very favourably to the 30% increase in 2005/6. Operating Profit rose to Ksh17.789bn an increase of 39.3% from the previous year's Ksh12.776bn.

Financing costs increased slightly in the year due to the higher borrowings, an increase in the average interest rate payable on the borrowings and increased foreign exchange losses being offset by higher interest income. As a result of the increased financing costs, profit before income tax rose to KSh17.193bn, an increase of 40.8%.

With an effective tax rate of 30.1%, a slight decrease over the 31% in the previous year, the income tax payable increased by 36.9% to Ksh5.182bn, resulting in a post tax profit of Ksh12.010bn, an increase of 42.6% over the previous year's Ksh8.425bn.

The Income Tax charge of Ksh5.182bn will be the largest income tax payments this year from Kenyan companies. However in addition to this amount, Safaricom is a major contributor to the Government in terms of VAT, Excise Duty and License fees. In the Financial year under review, the total amount payable was Ksh18.4bn, an increase of 40.5% over the KSh13.1bn in the previous year. We therefore continue to be one of the most important contributors to the wealth of this country and, as a truly Kenyan company, we are proud to pay these levels of taxes.

Due to the strong performance of the Company and its increasing credit standing, the Directors were able to recommend the payment of a dividend of Ksh4bn, an increase of 33.7% over the previous year's declared dividend of Ksh2.992bn.

With the declaration of the dividend to the shareholders, the balance of the profit has been transferred to retained earnings, thus increasing the amount by 47.3% to KSh24.939bn. Shareholders' funds have therefore increased to Ksh32.789bn.

The Company obtained a loan facility of Ksh12bn from a syndicate of local banks during the previous financial year. At the start of the year the Company had drawn down an amount of Ksh5bn from this facility. During the year the Company drew down a further KSh1.2bn on the facility giving total drawings of KSh6.2bn. In addition the Company has outstanding Shareholder loans of KSh4.235bn. Total borrowings at the yearend therefore stood at KSh10.435bn an increase of KSh1.2bn over the previous year.

Non current assets, of which capital items represent over 92%, increased by a further KSh9.847bn as we continued to invest heavily in the network. With a total capital expenditure in the year of KSh16.338bn, representing an increase of 43.3% over the previous year, total noncurrent assets increased to KSh46.258bn. Total capital expenditure on the network has now exceeded KSh65bn

Current assets increased in the year by KSh2.616bn, principally due to cash balances, however this was largely offset by an increase in liabilities due to amounts payable to suppliers for the increased network expenditure.

Cash flow remained strong during the year with net cash from operating activities generating KSh21.285bn, an increase of 43.9% over the previous year. Capital expenditure in the year absorbed 76.8% of net cash from operating activities and further borrowings of KSh1.2bn combined with the payment of the dividend of KSh2.992bn helped cash balances to increase by KSh2.970bn, slightly higher than the increase in current liabilities.

As a Company we believe that the key to success is to invest for the future and this is demonstrated by our increased investment in the network. We are very pleased with these results and firmly believe that they will continue to allow us to expand our network to better serve our customers now and in the future.
Notes to the Financial Statements

Notes to the audited financial results for the Year Ended 31st March 2007

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